2.2 Making marketing decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 42
- **Total marks:** 148
- **Sub-topics covered:** 5
- **Questions with embedded source pages:** 25

By series:

- **Specimen SAMs:** 8 questions
- **June 2019:** 4 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 6 questions
- **June 2022:** 7 questions
- **June 2023:** 5 questions
- **June 2024:** 6 questions

2.2.1 Product (18 questions)

Specimen SAMs · Paper 2 · Q1(b) · §A

MCQ 1 marks

Which one of the following is an element of the design mix?

A. Cost
B. Quality
C. Promotion
D. Price

MARK SCHEME ANSWER

A

Specimen SAMs · Paper 2 · Q4(a) · §B

Outline 2 marks

CASE STUDY EXTRACT

Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Specimen SAMs P2 page 64

Outline one impact on Fender of using 3D printers to print out ideas for new guitar models.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable impact on Fender of using 3D printers to print ideas for new guitar models. Award a maximum of 1 mark if points are not linked. Fender can print off ideas of new guitar models faster (1), which reduces the cost of developing new musical instruments (1). Fender no longer has to send ideas for new models to an outside model builder (1) so it can produce new guitar designs at a lower cost (1). Do not accept impacts of 3D printing that would not relate to a musical instrument manufacturer such as Fender developing new products, for example mass manufacturing guitars for sale.

June 2019 · Paper 2 · Q1(a) · §A MCQ **1 marks**

Which one of the following is an element of the design mix?

A. Cost
B. Price
C. Product
D. Quality

MARK SCHEME ANSWER

A - Cost (1)

June 2019 · Paper 2 · Q3(c) · §A Explain **3 marks**

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

Explain one method a business could use to differentiate its product.

MARK SCHEME ANSWER

Award 1 mark for identification of a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could add extra features to the product (1). This may make the product more attractive (1). As a result, it will catch the customer's attention (1). The business could promote the product (1). This may give the product a better brand image (1). Therefore, it may be seen as more of a necessity compared to products made by other businesses (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

June 2019 · Paper 2 · Q4(a) · §B

Outline **2 marks**

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 4

Mind Candy case study (reduced workforce of software developers after 2013 losses).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, *Mind Candy* made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, *Mind Candy* reduced its workforce of software developers.

(Source from: https://www.petlandia.com/custom-book.html#create)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. *Mind Candy* believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears adminstration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)

P 5 9 9 2 6 A 0 1 0 2 4

Outline one method Mind Candy could use to extend the product life cycle of one of its games.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable method for Mind Candy. Award a maximum of 1 mark if points are not linked. Mind Candy could build extra features into existing games such as Moshi Monsters (1). This means that it would be more appealing compared to games such as Candy Crush (1). Mind Candy could make its games, such as Petlandia, available on more platforms (1). This would make it easier for more potential players to download the game (1). Do not accept a method that would not be appropriate to Mind Candy. For example, improving the packaging.

Nov 2020 · Paper 2 · Q2(d) · §A Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Explain one benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Managers can now concentrate more time on products at the growth stage of the product life cycle (1). As a result, these products are more likely to have a longer maturity phase (1). Therefore, the business may gain a larger market share (1). Products in the decline phase are likely to be making a loss (1). Therefore, withdrawing a product should reduce the loss the business makes (1). Therefore, the business should have a greater level of retained profit to invest in new products (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Nov 2020 · Paper 2 · Q2(e) · §A Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Explain one benefit to a business from improving the aesthetic element of a product's design mix.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. This may make the product appear more attractive compared to rival products (1). Therefore, the product may gain a unique selling point (1). Thus, the business may be able to charge a premium price (1). This could add value to the product (1). Therefore, the business may be able to generate a larger profit margin from the product (1). This may give the business more retained profit to reinvest in new products (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q2(a) · §A

MCQ **2 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

Which two of the following are examples of goods?

A. Cars
B. Education
C. Hairdressing
D. Televisions
E. Train journeys

MARK SCHEME ANSWER

A - Cars; D - Televisions

Nov 2021 · Paper 2 · Q2(d) · §A

Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

Explain one reason why aesthetics may be important in the design mix of a product.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks.

This may make the product look more attractive (1). Therefore, customers may choose the product over those of a rival (1). As a result, market share may increase (1).

Making the product look more attractive may be a source of differentiation (1). Therefore, potential rival businesses may find it harder to enter the market (1). As a result, the business may be able to charge a premium price (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an *ASOS* warehouse

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows *ASOS* to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given *ASOS* the ability to increase the range of clothes it can sell on its website.

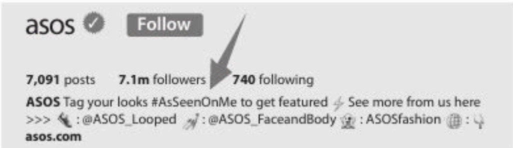

Figure 5: *ASOS's* Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, *ASOS's* profits have fallen. This has caused the company's share price to fall. *ASOS* has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest *ASOS* outfit on social media. In return, *ASOS* gives customers the opportunity to be featured on the *ASOS* Instagram feed which has 7.1 million followers.

(Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

Outline one advantage to ASOS of increasing the range of products offered for sale on its website.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an advantage to ASOS of increasing the range of products offered for sale on its website. Award a maximum of 1 mark if points are not linked.

It will encourage more customers in their 20s to buy clothes from the website (1). Therefore, ASOS should experience an increase in sales (1).

The website will become more convenient to use because there is more choice (1). Thus, ASOS will become more attractive to customers than competitors such as Boohoo (1).

Do not accept an advantage that would not be appropriate to ASOS.

June 2022 · Paper 2 · Q2(a) · §A MCQ **2 marks**

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

Which two of the following are stages of the product life cycle?

A. Birth
B. Cancellation
C. Decline
D. Growth
E. Marketing

MARK SCHEME ANSWER

The only correct answer is C – Decline and D – Growth. A is not correct because it is not a stage of the product life cycle. B is not correct because it is not a stage of the product life cycle. E is not correct because it is not a stage of the product life cycle.

June 2022 · Paper 2 · Q2(b) · §A

MCQ 2 marks

DATA FOR QUESTION 2

> Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

Which two of the following are elements of the design mix?

A. Cost
B. Function
C. Materials
D. Price
E. Quality

MARK SCHEME ANSWER

The only correct answer is A – Cost and B – Function. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix. E is not correct because it is not an element of the design mix.

June 2022 · Paper 2 · Q3(d) · §A

Explain 3 marks

DATA FOR QUESTION 3

> Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Explain one method that a business could use to extend the life cycle of one of its products.

MARK SCHEME ANSWER

Award 1 mark for identification of a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could reduce the price (1). Therefore, the product now appears better value for money than rival products (1). Thus, sales of the product should start to rise (1). The business could target a new market segment (1). As a result, the product may now become attractive to a new category of consumers (1). Therefore, preventing the product from going into decline (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q1(a) · §A

MCQ 1 marks

DATA FOR QUESTION 1

> Figure 1 shows a diagram of the product life cycle with four phases (Phase 1, Phase 2, Phase 3, Phase 4), with sales rising and then declining.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 Figure 1 shows a diagram of the product life cycle.

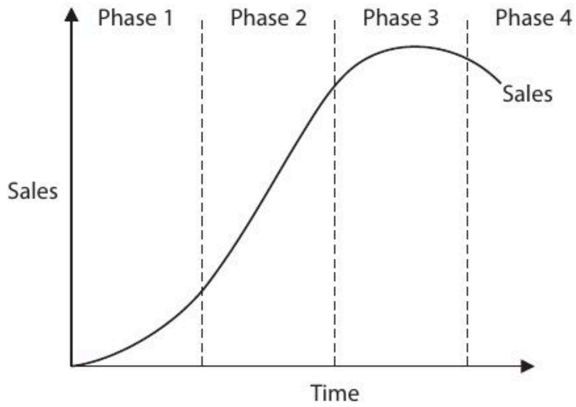

Figure 1

(a) What is Phase 4 called?

(1)

Select **one** answer.

- ☐ **A** Decline
- ☐ **B** Growth
- ☐ **C** Introduction
- ☐ **D** Maturity

(b) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ **A** Function
- ☐ **B** Price
- ☐ **C** Productivity
- ☐ **D** Profit

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P 7 1 0 6 0 A 0 2 2 4

What is Phase 4 called? Select one answer.

A. Decline

B. Growth

C. Introduction
D. Maturity

MARK SCHEME ANSWER

The only correct answer is A – Decline. B is not correct because it is the incorrect phase. C is not correct because it is the incorrect phase. D is not correct because it is the incorrect phase.

June 2023 · Paper 2 · Q1(b) · §A MCQ **1 marks**

DATA FOR QUESTION 1

> Figure 1 shows a diagram of the product life cycle with four phases (Phase 1, Phase 2, Phase 3, Phase 4), with sales rising and then declining.

Which one of the following is an element of the design mix? Select one answer.

A. Function
B. Price
C. Productivity
D. Profit

MARK SCHEME ANSWER

The only correct answer is A – Function. B is not correct because it is not an element of the design mix. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix.

June 2024 · Paper 2 · Q1(a) · §A MCQ **1 marks**

Which one of the following is an element of the design mix?

A. Aesthetics
B. Extension
C. Packaging
D. Production

MARK SCHEME ANSWER

The only correct answer is A - Aesthetics. B is not correct because it is not an element of the design mix. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix.

June 2024 · Paper 2 · Q1(c) · §A

Explain · 3 marks

Explain one reason why a business may increase its product range.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. It may attract more customers (1). This is because there is more likely to be a product that suits different consumer needs (1). Therefore, the business will be able to make more sales (1). This may make it harder for other firms to find a gap in the market (1). Therefore, this prevents the market becoming competitive (1). This allows the business to maintain its market share (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

June 2024 · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes'* best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.

(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Analyse the importance to Popeyes of differentiating its products.

MARK SCHEME ANSWER

Indicative content: It allows Louisiana style chicken to stand out in a crowded fast-food market (AO2). It may discourage other fried chicken firms from opening new branches close to a Popeyes location (AO2). As a result, more customers may choose Popeyes over their rivals. This may increase market share, allowing greater revenues to be generated (AO3a). Therefore, with less competition, Popeyes can charge higher prices and as a result, increase its profit margins (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application with some inconsistencies. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

2.2.2 Price (5 questions)

Specimen SAMs · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

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(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

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(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Analyse the impact on Fender of charging high prices for its musical instruments.

MARK SCHEME ANSWER

Indicative content: It allows Fender to keep manufacturing guitars using job production and the finest raw materials (AO2). This may reduce Fender's competitive advantage in the market for cheaper types of guitar (AO2). This is because high prices will cover the high unit cost of manufacturing a hand-made guitar, allowing Fender to remain profitable (AO3a). This could result in Fender losing market share in the guitar market, which reduces revenues and profitability (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2020 · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

> Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, Iceland enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million. Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal Iceland store which allows them to stock more luxury products. Iceland hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores. In 2018, Iceland received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed Iceland's decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that Iceland's decision will be repeated by other supermarkets in the UK. (Source: adapted from https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products and http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf)

DATA FOR QUESTION 7

> Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017.
> Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

© Dom J/Shutterstock

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland*'s decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland*'s decision will be repeated by other supermarkets in the UK.

Figure 3: *Iceland*'s new packaging

(Source: adapted from https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products and http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf)

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Outline one factor that could influence Iceland's choice of pricing strategy for its range of new products.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a factor that could influence Iceland's choice of pricing strategy. Award a maximum of 1 mark if points are not linked. The grocery market has lots of competition (1). Therefore, Iceland may need to use a competitive pricing strategy (1). Millie's Cookies is a popular brand (1). Therefore, Iceland may be able to charge a premium price (1). Do not accept factors that would not be appropriate for Iceland. For example, the variable cost of the raw materials.

Nov 2021 · Paper 2 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

ADDITIONAL INFORMATION

In order to increase its profits, ASOS is considering two options: Option 1: lower prices. Option 2: advertise on more social media channels.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an *ASOS* warehouse

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows *ASOS* to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given *ASOS* the ability to increase the range of clothes it can sell on its website.

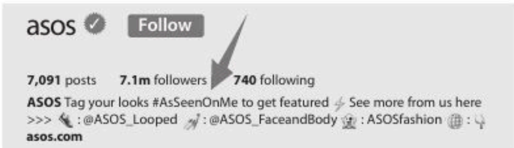

Figure 5: *ASOS's* Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, *ASOS's* profits have fallen. This has caused the company's share price to fall. *ASOS* has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest *ASOS* outfit on social media. In return, *ASOS* gives customers the opportunity to be featured on the *ASOS* Instagram feed which has 7.1 million followers.

(Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

Justify which one of these two options ASOS should choose.

MARK SCHEME ANSWER

Indicative content: This should allow ASOS's clothing such as shirts and blouses to appear better value for money than similar items offered by Boohoo (AO2). Advertising on more social media channels such as Facebook and Twitter should lead to a greater awareness of ASOS's clothes amongst its target market of customers in their 20s (AO2). This may increase demand for ASOS's products amongst its target market. As a result, ASOS's revenues could increase, allowing profitability to increase (AO3a). This may make ASOS more attractive to its target market since customers will now be able to share how good they look in ASOS's clothes with millions of other people who are of a similar age. This should increase demand for its products, which should allow ASOS to increase revenues resulting in increased profits (AO3a). However, the gross profit margin on each item of clothing will decrease and overall profits will only increase if ASOS sells significantly more items of clothing by reducing prices. Considering the market is more competitive this may be unlikely (AO3b). However, the market has become much more competitive and it is likely that advertising on more social media channels may not be enough to boost sales since it can easily be copied by rival retailers such as Boohoo. As a result, profitability may not increase (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

June 2023 · Paper 2 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 6

> In order to increase its share of the online grocery market, Ocado has considered two options: Option 1: offering a faster delivery service. Option 2: expanding its product range.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

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In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

State one possible influence on the pricing strategy used by Ocado.

MARK SCHEME ANSWER

Award 1 mark for stating one possible influence on Ocado's pricing strategy. Cost of purchasing groceries from Heinz/Marks and Spencer (1). How much shoppers are willing to spend on food (1). What competitors, such as Asda, are charging (1). To award 1 mark there must be evidence of application.

June 2024 · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

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(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Evaluate the importance of charging lower prices to allow Cineworld to return to profit. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Lower prices means that a potential cinema goer now spends a smaller percentage of their income on a trip to the cinema (AO1b). Price is just one of the factors that a customer considers when purchasing a service such as a cinema ticket (AO1b). Therefore, watching a movie in a multi-screen cinema becomes more attractive compared to watching it at home on a streaming service such as Netflix. This may increase demand for cinema seats (AO2). If the quality of the movies shown by Cineworld is poor, then lower prices will not encourage more people to visit. People may also still have health concerns about being so close to other people and this may discourage them from visiting Cineworld's cinemas despite the lower prices (AO2). As more people visit the cinema, Cineworld will generate a higher contribution from ticket sales and also make an additional contribution from the sale of other products such as popcorn and ice cream. This should help to pay off the fixed costs of the cinema, allowing it to move past its break even point and return to profit (AO3a). Therefore, lower prices may reduce revenues, rather than increase them, leading to an increased loss rather than a return to profit. This is because other elements in the marketing mix may be more important, such as product, and these factors are the ones that ultimately generate customer demand for a cinema trip (AO3a). However, during the global pandemic people got used to paying for and watching streaming services such as Apple TV and Netflix. Therefore, they may have lost the habit of visiting cinemas. Therefore, lowering prices may not stimulate enough extra demand and the increase in customers may not offset the reduction in prices, increasing Cineworld's losses rather than moving the company back towards profit (AO3b). However, in the long-term lower prices may encourage people back to the cinema, once health concerns have subsided and the large movie studios start to release blockbuster movies that cannot be seen on streaming services. It ultimately depends on whether Cineworld can survive long enough for that to happen (AO3b). Level 1 (1-4): Elements of knowledge, limited application, supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge, sound application, conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge throughout, detailed application, valid and well-reasoned conclusion based on thorough evaluation.

2.2.3 Promotion (8 questions)

Specimen SAMs · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 6

Fender is considering two options to increase its profitability: Option 1: Increase advertising. Option 2: Increase prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Specimen SAMs P2 page 64

Outline one possible benefit to Fender from using social media.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to Fender from using social media. Award a maximum of 1 mark if points are not linked. It enables Fender to tweet that artists such as Bruno Mars use its instruments (1), therefore improving the brand image of its guitars (1). Fender can target different types of musician more effectively (1) because each Fender brand has its own social media account as shown in Figure 4 (1). Do not accept benefits from using social media that would not relate to a musical instrument manufacturer such as Fender, for example to promote a local in-store event.

Specimen SAMs · Paper 2 · Q7(b) · §C

Identify 1 marks

CASE STUDY EXTRACT

> Extract B: Argos and Sainsbury's are familiar brands in the UK. Figure 4 shows Sainsbury's: Employees 161,000, 1,304 Stores, Annual Sales £23.7bn, Profit before tax £681bn; Home Retail Group/Argos: Employees 47,000, 840 Stores, Annual Sales £5.7bn, Profit before tax £93.8bn. In February 2016, Home Retail Group plc, the owners of the high-street catalogue store Argos, agreed to be taken over by Sainsbury's plc in a £1.3bn deal. The takeover has arisen because market conditions have changed in high-street retailing. The move towards smaller, more convenient supermarkets such as those provided by Lidl and Aldi has left Sainsbury's plc with overly large stores which consumers increasingly do not want to use. Argos also found itself in an increasingly competitive market place and was struggling to compete against the giant e-tailer Amazon.com on both price and speed of delivery. Figure 5 'Both brands have universal appeal' shows customer segmentation by income (%): High Income Sainsbury's 31, Argos 27; Middle Income Sainsbury's 45, Argos 45; Low Income Sainsbury's 24, Argos 28. Customer segmentation by age (%): <25 Sainsbury's 14, Argos 13; 25-34 Sainsbury's 21, Argos 22; 35-44 Sainsbury's 22, Argos 22; 45-54 Sainsbury's 19, Argos 20; 55+ Sainsbury's 24, Argos 23. The takeover of Argos by Sainsbury's plc will create the UK's largest non-food retailer and will allow Sainsbury's plc the ability to open Argos stores within the unused space in Sainsbury's supermarkets. This will result in Argos' stores on the high street closing. The combined company will also be able to improve its home delivery operation with grocery items and non-food items now being delivered to homes only four hours after the order was originally placed.

DATA FOR QUESTION 7

> In order to improve its competitive advantage, Argos has two options: Option 1: Lower prices. Option 2: Increase the speed of home delivery.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

DO NOT WRITE IN THIS AREA

In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

(e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Specimen SAMs P2 page 66

Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

MARK SCHEME ANSWER

55+

June 2019 · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 6

Mind Candy case study (believes Petlandia will allow it to return to organic growth).

ADDITIONAL INFORMATION

Mind Candy case study (Petlandia new app).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

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(Source from: https://www.petlandia.com/custom-book.html#create)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. *Mind Candy* believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears adminstration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)

Outline one method Mind Candy could use to promote its new app.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a method Mind Candy could use. Award a maximum of 1 mark if points are not linked. Mind Candy could send out emails to all of its past customers (1) since they would be part of the target market for Petlandia (1). Mind Candy could sponsor cartoons involving pets (1). This would make families more aware of the new app (1). Do not accept methods of promotion that would not be appropriate for Mind Candy. For example, promotions such as.

Nov 2020 · Paper 2 · Q6(b) · §B

Outline **2 marks**

CASE STUDY EXTRACT

> Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

DATA FOR QUESTION 6

> In order to regain its lost market share, KFC considered two options: Option 1: lower prices. Option 2: use viral advertising.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

Nov 2020 P2 page 10

Outline one benefit to KFC of using social media to interact with its customers.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to KFC. Award a maximum of 1 mark if points are not linked. KFC could quickly tweet any special offers that it has on its menu (1). Therefore, potential customers could react to this much faster than with traditional advertising (1). KFC could target advertising at certain types of consumer (1). As a result, it could use Facebook profiles to target specific market segments of the fast food market (1). Do not accept benefits that would not relate to KFC. For example, it allows them to contact potential customers faster.

Nov 2020 · Paper 2 · Q6(c) · §B

Justify 9 marks

CASE STUDY EXTRACT

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

DATA FOR QUESTION 6

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

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Write your answers in the spaces provided.

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(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

Justify which one of these two options KFC should choose.

MARK SCHEME ANSWER

Indicative content: KFC could lower the price of its most popular meals such as Popcorn Chicken (AO2). KFC could make better use of viral advertising to get a clear marketing message to consumers of fast food (AO2). This would make its products appear better value for money than those offered by competitors. As a result, KFC may make more sales in the market. This should lead to an increase in its market share (AO3a). This should reach large numbers of consumers as quickly as possible and could be reposted by social media users, increasing the spread of the marketing message. The viral nature of its advertising may attract customers back to KFC, increasing its market share (AO3a). However, after switching to rival fast food restaurants when KFC ran out of chicken, consumers may now prefer the taste and reliability of service offered by rivals such as McDonalds. As a result, the impact of lowering prices on allowing KFC to recapture market share may be limited (AO3b). However, viral advertising may not be passed on by the recipient and could even be altered before being reposted. Therefore, if this happens, KFC's apology could be changed to something that is offensive. This could cause market share to fall further since it could upset customers (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2022 · Paper 2 · Q7(b) · §C

Identify 1 marks

CASE STUDY EXTRACT

> JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club. In March 2019, JD Sports announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like JD Sports, had its headquarters in Greater Manchester and was started by an ex-JD Sports director, David Makin. Footasylum had 69 stores in the UK in similar locations to JD Sports. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to JD Sports such as Nike, Adidas and Puma. JD Sports brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct. In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers. (Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

DATA FOR QUESTION 7

> Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020. Facebook 36.21%; Other social media 7.76%; WhatsApp WebApp 3.41%; YouTube 38.84%; Vkontakte 1.33%; Twitter 12.45%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

7 (a) Define the term **multinational**.

(1)

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Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

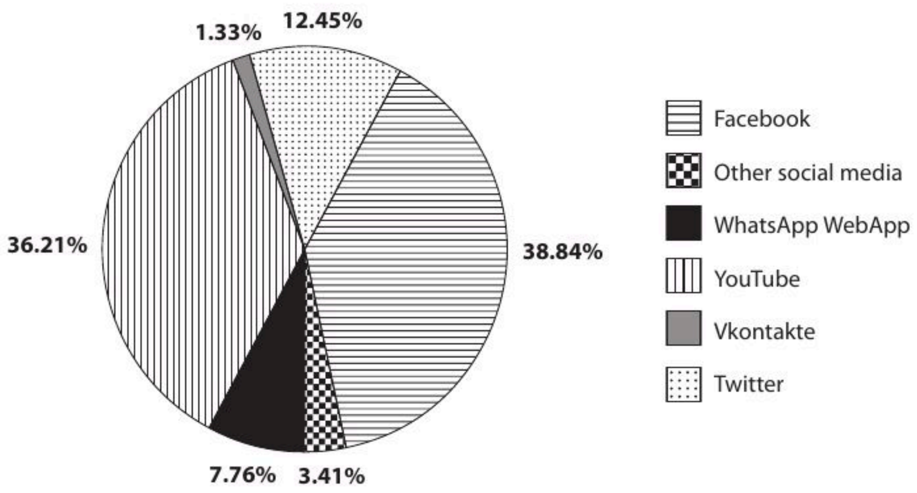

Figure 5

(Source: adapted from https://www.similarweb.com/website/jdsports.co.uk#social)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)

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Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

MARK SCHEME ANSWER

Vkontakte

June 2022 · Paper 2 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club. In March 2019, JD Sports announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like JD Sports, had its headquarters in Greater Manchester and was started by an ex-JD Sports director, David Makin. Footasylum had 69 stores in the UK in similar locations to JD Sports. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to JD Sports such as Nike, Adidas and Puma. JD Sports brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct. In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers. (Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

DATA FOR QUESTION 7

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020. Facebook 36.21%; Other social media 7.76%; WhatsApp WebApp 3.41%; YouTube 38.84%; Vkontakte 1.33%; Twitter 12.45%.

ADDITIONAL INFORMATION

In order to improve its competitive advantage JD Sports is considering two options: Option 1: targeted online advertising; Option 2: sponsorship.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

Justify which one of these two options JD Sports should choose.

MARK SCHEME ANSWER

Indicative content: This could allow JD Sports to focus on its key market segment of 16-24 year olds who are much more likely to see online advertising (AO2). Sponsorship could make customers of trainers more loyal to the JD Sports brand and reinforce their brand of 'king of trainers' (AO2). This could influence this market segment into believing that certain products are highly fashionable and are more of a necessity. As a result, JD Sports may be able to charge a premium for these products (AO3a). By sponsoring Bournemouth football club this may generate more publicity for the brand and attract more customers to JD Sports stores increasing its market share compared to Sports Direct (AO3a). However, these products are not manufactured by JD Sports and they are available at a lot of other retail outlets such as Sports Direct. Since the market is highly competitive, it is possible that JD Sports can only charge a slightly higher price. It depends on the degree to which the targeted market value the experience of buying a product from this company over another. It maybe that the targeted market segment prefers to purchase from the 'King of trainers' (AO3b). However, sponsorship is risky. Many potential customers may not be interested in football and, if they are, they may support other more popular or local teams. Sponsorship of sports teams may also prevent JD Sports from becoming a general fashion retailer as opposed to a sporting goods store. Therefore, it ultimately depends on who JD Sports sponsor as to whether this will allow them to improve their competitive advantage (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2024 · Paper 2 · Q3(c) · §A Explain **3 marks**

DATA FOR QUESTION 3

> Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

Explain one reason why a business may use sponsorship to promote a product.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks. So that the product becomes associated with a particular event or personality (1). This may enhance the brand of the product (1). Therefore, the business may be able to charge a higher price (1). It gives the product greater levels of awareness (1). This means that more customers may be tempted to try the product (1). Therefore, sales of the product may increase (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

2.2.4 Place (5 questions)

Specimen SAMs · Paper 2 · Q1(a) · §A MCQ **1 marks**

Which one of the following is an element of the marketing mix?

A. Perseverance

B. Profit

C. Place

D. Persuasion

MARK SCHEME ANSWER

C

Specimen SAMs · Paper 2 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

Extract B: Argos and Sainsbury's are familiar brands in the UK. Figure 4 shows Sainsbury's: Employees 161,000, 1,304 Stores, Annual Sales £23.7bn, Profit before tax £681bn; Home Retail Group/Argos: Employees 47,000, 840 Stores, Annual Sales £5.7bn, Profit before tax £93.8bn. In February 2016, Home Retail Group plc, the owners of the high-street catalogue store Argos, agreed to be taken over by Sainsbury's plc in a £1.3bn deal. The takeover has arisen because market conditions have changed in high-street retailing. The move towards smaller, more convenient supermarkets such as those provided by Lidl and Aldi has left Sainsbury's plc with overly large stores which consumers increasingly do not want to use. Argos also found itself in an increasingly competitive market place and was struggling to compete against the giant e-tailer Amazon.com on both price and speed of delivery. Figure 5 'Both brands have universal appeal' shows customer segmentation by income (%): High Income Sainsbury's 31, Argos 27; Middle Income Sainsbury's 45, Argos 45; Low Income Sainsbury's 24, Argos 28. Customer segmentation by age (%): <25 Sainsbury's 14, Argos 13; 25-34 Sainsbury's 21, Argos 22; 35-44 Sainsbury's 22, Argos 22; 45-54 Sainsbury's 19, Argos 20; 55+ Sainsbury's 24, Argos 23. The takeover of Argos by Sainsbury's plc will create the UK's largest non-food retailer and will allow Sainsbury's plc the ability to open Argos stores within the unused space in Sainsbury's supermarkets. This will result in Argos' stores on the high street closing. The combined company will also be able to improve its home delivery operation with grocery items and non-food items now being delivered to homes only four hours after the order was originally placed.

DATA FOR QUESTION 7

In order to improve its competitive advantage, Argos has two options: Option 1: Lower prices. Option 2: Increase the speed of home delivery.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

(e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

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Justify which one of these options Argos should choose.

MARK SCHEME ANSWER

Indicative content: Increasing the speed of delivery will make more customers want to use Argos for the purchase of goods such as televisions (AO2). However, increasing the speed of delivery may be impossible to achieve and if Argos manages to do it, Amazon will almost certainly copy the approach, eliminating Argos' competitive advantage (AO2). This is because more consumers will be attracted by the faster service. This could mean consumers would be willing to pay the higher prices offered by Argos and use Argos instead of Amazon, reducing Amazon's market share and giving Argos a competitive advantage (AO3a). The result may be that Argos may receive a competitive advantage for only a short period of time (AO3a). The most appropriate strategy for Argos is to increase the speed of delivery. This is because lowering prices is something that Argos will not be able to achieve (AO3b). Amazon is an e-tailer so has a lower level of fixed costs, and will be in a position to undercut Argos on price. Therefore, Argos can achieve competitive advantage only by improving the speed of its home delivery services (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

Nov 2021 · Paper 2 · Q4(a) · §B

Outline 2 marks

CASE STUDY EXTRACT

> Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a $976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a $976 million loss in 2018.

(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

Outline one drawback to Tesla of using e-commerce to generate sales.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a drawback to Tesla of using e-commerce to generate sales. Award a maximum of 1 mark if points are not linked.

Customers may be unwilling to make an expensive purchase on the internet (1). They would be worried about making a $35 000 payment online due to the risk of internet fraud (1).

Customers will want to take the car for a test drive before they purchase one (1). Therefore, they may purchase a different car (1).

Do not accept a drawback of relying on e-commerce that would not relate to Tesla.

June 2022 · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club. In March 2019, JD Sports announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like JD Sports, had its headquarters in Greater Manchester and was started by an ex-JD Sports director, David Makin. Footasylum had 69 stores in the UK in similar locations to JD Sports. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to JD Sports such as Nike, Adidas and Puma. JD Sports brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct. In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers. (Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

DATA FOR QUESTION 7

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020. Facebook 36.21%; Other social media 7.76%; WhatsApp WebApp 3.41%; YouTube 38.84%; Vkontakte 1.33%; Twitter 12.45%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

June 2022 P2 page 19

Outline one benefit to JD Sports of having a website.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to JD Sports. Award a maximum of 1 mark if points are not linked. The business will now be able to sell sportswear to a global market (1). As a result, sales revenue should increase (1). The business may no longer need as many bricks and mortar/high street stores (1). Therefore, reducing the rent paid by the Manchester-based clothing business (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2024 · Paper 2 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

> Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

Which one of the following elements of the marketing mix relates to the distribution of a product to the consumer?

A. Place
B. Price
C. Product
D. Promotion

MARK SCHEME ANSWER

The only correct answer is A - Place. A is not correct because it does not relate to distribution. B is not correct because it does not relate to distribution. C is not correct because it does not relate to distribution.

2.2.5 Using the marketing mix (6 questions)

Specimen SAMs · Paper 2 · Q6(c) · §B

Justify **9 marks**

CASE STUDY EXTRACT

Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 6

Fender is considering two options to increase its profitability: Option 1: Increase advertising. Option 2: Increase prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

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(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

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(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Justify which one of these options Fender should choose.

MARK SCHEME ANSWER

Indicative content: Increasing prices will further position Fender's musical instruments as a luxury product (AO2). However, increasing prices could make Fender appear more of a niche market firm rather than a mass market firm (AO2). This means that the fall in demand from raising prices is likely to be insignificant, causing revenue to rise and with costs remaining the same profit should increase (AO3a). As a result, demand for Fender's musical instruments could fall if the economy moves into a recession (AO3a). The most appropriate option for Fender may be to increase advertising since Fender already charge as much as £10,000 for a guitar, therefore if they could attract more customers revenue will increase significantly (AO3b). However, the impact of increasing advertising depends on whether the increase in demand for Fender's guitars generates enough extra revenue to cover the additional cost of the advertising. If social media is used it will probably lead to the largest increase in profits (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

Nov 2020 · Paper 2 · Q3(c) · §A Explain **3 marks**

DATA FOR QUESTION 3

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Explain one drawback to a business from differentiating its product.

MARK SCHEME ANSWER

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. This may cause variable costs to increase (1). Therefore, the differentiation may not add value (1). Thus, profit per product sold may decrease (1). Differentiation could be expensive (1). Therefore, cash outflows may increase (1). This could cause the business to suffer poor cash flow (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q7(a) · §C

Give 1 marks

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an *ASOS* warehouse

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows *ASOS* to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given *ASOS* the ability to increase the range of clothes it can sell on its website.

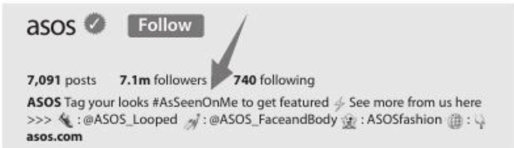

Figure 5: *ASOS's* Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, *ASOS's* profits have fallen. This has caused the company's share price to fall. *ASOS* has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest *ASOS* outfit on social media. In return, *ASOS* gives customers the opportunity to be featured on the *ASOS* Instagram feed which has 7.1 million followers.

(Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

Give one element of the marketing mix.

MARK SCHEME ANSWER

Award 1 mark for an element of the marketing mix.

Price (1).
Product (1).
Promotion (1).
Place (1).

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Justify 9 marks

CASE STUDY EXTRACT

> Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

DATA FOR QUESTION 6

> In order to continue the growth in its sales, Greggs is considering two options: Option 1: differentiate its product range; Option 2: lower its prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.

(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

Justify which one of these two options Greggs should choose.

MARK SCHEME ANSWER

Indicative content: New products, such as vegan sausage rolls, can attract national publicity (AO2). Lower prices for items like coffee and bacon rolls should attract more customers considering the market is so competitive (AO2). Therefore, potential customers could become aware of the fact that Greggs now sell new and exciting products. As a result, more Greggs may experience an increase in demand which could lead to rising sales (AO3a). This is because, the value for money offered by Greggs is now better than rival providers of products such as Costa and Starbucks. As a result, customers may switch loyalties to Greggs allowing it to build a larger customer base which then allows for further sales growth (AO3a). However, vegan sausage rolls are a niche product since only a small percentage of the population are vegan. Therefore, the impact on sales growth may be quite small. It depends if the national publicity generated makes non-vegans interested in Greggs' differentiated product line (AO3b). However, the reduction in price could be matched by Greggs' rivals. This would remove any competitive advantage that Greggs would have from lowering prices in the first place. Therefore, the success of this strategy depends on the likely reaction of rival firms in the competitive market (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

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Outline 2 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

In 2020, *Ocado*'s sales rose by more than 40% as demand for online grocery shopping increased. *Ocado* has invested in new technology in its warehouses. This has allowed *Ocado* to use a just in time (JIT) stock management system. As part of this investment, *Ocado*'s robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed *Ocado* to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

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Outline one possible method, other than faster delivery, that Ocado could use to differentiate its service.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a method that Ocado could use to differentiate its service. Award a maximum of 1 mark if points are not linked. It could offer more frequent delivery slots (1). As a result, its service would stand out compared to that of Asda (1). Ocado could allow customers to track their grocery delivery in real time on an app (1). Therefore, Ocado customers will be getting a more convenient service than that offered by Asda (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2023 · Paper 2 · Q6(c) · §B

Justify 9 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 6

> In order to increase its share of the online grocery market, Ocado has considered two options: Option 1: offering a faster delivery service. Option 2: expanding its product range.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

In 2020, *Ocado*'s sales rose by more than 40% as demand for online grocery shopping increased. *Ocado* has invested in new technology in its warehouses. This has allowed *Ocado* to use a just in time (JIT) stock management system. As part of this investment, *Ocado*'s robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed *Ocado* to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

Justify which one of these two options Ocado should choose.

MARK SCHEME ANSWER

Indicative content: Offering a faster delivery service may meet the needs of Ocado's customers since there has been a 40% increase in demand for online grocery shopping during 2020 (AO2). Increasing its product range may satisfy the demands of grocery shoppers who may be looking for a wider range of Ocado's own brand products or those that are stocked by other supermarkets e.g. Heinz baked beans (AO2). As a result, Ocado's service may become more convenient than visiting a physical supermarket. This is because if Ocado can deliver so quickly it may be faster to order from them, than to visit a physical supermarket. This should cause revenues to increase, leading to increased market share (AO3a). Therefore, Ocado customers may now be able to purchase Marks & Spencer groceries as well as more of their own brand products, which may make them more attractive in terms of choice of products than rivals such as Asda. This may lead to increased sales, resulting in greater market share (AO3a). However, as orders increase further it may be difficult for Ocado to keep up with growing demand in the market. If deliveries start to become unreliable, then the brand could be damaged. Ocado's warehouses may not have much more capacity to deal with further, increased orders (AO3b). However, these products are also available at physical supermarkets, and consumers may want to touch/see the food e.g. freshness of fruit/fish. Thus, increasing product choice may only lead to limited increases in market share (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).